

LNG INVESTMENTS EUROPE LIMITED

**Financial Statements
for the year ended
31 December 2025**

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LNG INVESTMENTS EUROPE LIMITED
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**LNG INVESTMENTS EUROPE LIMITED
COMPANY INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2025**

Directors

Shamsairi Bin Mohd Ibrahim

Ezran Bin Mahadzir

Marliza Binti Abdul Rahim

Nik Mohsain Nik Ahmad

(Appointed on 14 January 2026)

Jazlinawati Osman

(Resigned on 12 January 2026)

Secretary

David Carter

Registered office

One New Ludgate

9th Floor, 60 Ludgate Hill

London EC4M 7AW

Company number

09291740

Bankers

JP Morgan Bank N.A

Chaseside, Bournemouth

London BH7 7DA

J.P. Morgan Chase Bank Berhad

Level 18, Integra Tower, The Intermark

348 Jalan Tun Razak

50400 Kuala Lumpur

Citibank N.A.

Citigroup Centre

Canada Square

Canary Wharf

London E14 5LB

Auditors

Ernst & Young LLP

1 More London Place

London SE1 2AF

LNG INVESTMENTS EUROPE LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2025

Strategic Report

The Directors present their report together with the audited financial statements for the year ended 31 December 2025.

Principal Activities

The principal activities of LNG Investments Europe Limited (the “Company”; “LIEL”) was:

- To source and purchase Liquefied Natural Gas (“LNG”) for delivery to Dragon LNG’s import storage and re-gasification terminal in Milford Haven Waterway in Pembrokeshire, South West Wales (“Dragon LNG”);
- To regasify LNG cargoes and sell the regasified LNG into the UK “National Balancing Point (“NBP”); and
- To enter into structured transactions such as selling of slots at Dragon LNG to third parties.
- To source and sell LNG to third parties.

The sourcing of LNG, selling of slot options and the selling the regasified LNG into the UK NBP market as well as selling LNG globally was done on behalf of LIEL by PETCO Trading (UK) Limited (“PTUK”).

PTUK is a wholly-owned UK subsidiary of PETRONAS Trading Corporation Sdn. Bhd. (“PETCOSB”), the immediate parent company incorporated and located in Kuala Lumpur, Malaysia.

Business strategy

The Company’s main business focus are: 1) sourcing and purchasing of LNG cargoes either for delivery to Dragon LNG or to be sold as LNG and 2) the selling of structured transactions involving slot options at Dragon LNG to third parties, and 3) the send-out optimisation of re-gasified LNG into the UK NBP market.

Business review

The Company’s financial performance during the year are as follows:

	2025 GBP’000	2024 GBP’000	Change (%)
Gross Profit/(Loss)	31,879	(34,470)	>100%
Profit/(Loss) for the year	18,521	(32,002)	>100%
Total equity	(12,819)	(31,340)	59%

The Company continues its endeavour to source LNG cargoes into Dragon LNG via innovative structuring. The trading and sale of regasified LNG into the NBP market has been monitored closely with a view to maximising and optimising trading opportunities on behalf of the Company.

Onerous contract

An onerous contract provision under IAS 37, has been recognised amounting to £170 million as at 31 December 2025 (2024: £213 million). This is based on a contract in relation to Service Level Agreement (“SLA”) which replaced LNG Management Agreement effective January 2025 between LIEL and PTUK whereby, the latter recharges to the former all costs in relation to Throughput Agreement on Dragon plant management between PTUK, Dragon LNG Ltd. and Shell. Changes in the amount of provision are disclosed in Note 22 of the financial statements.

Section 172 Of The Companies Act 2006

The Directors are required to act in a manner which complies with their duties as set out in the UK Companies Act 2006. The Directors must act in accordance with a set of general duties as detailed Section 172 of the Companies Act 2006 which is summarised as follows:

A director of a company must act in the way he considers, in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

LNG INVESTMENTS EUROPE LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2025

Business review (CONTINUED)

Section 172 Of The Companies Act 2006 (Continued)

- a. the likely consequences of any decision in the long term,
- b. the interests of the company's employees,
- c. the need to foster the company's business relationships with suppliers, customers and others,
- d. the impact of the company's operations on the community and the environment,
- e. the desirability of the company maintaining a reputation for high standards of business conduct, and
- f. the need to act fairly as between members of the company.

The Directors have a duty to promote the success of the Company for the benefit of the stakeholders as a whole and have regard to the interests of the stakeholders in their decision making. The values of the Directors and the stewardship of the Company are aligned with those of the PETRONAS Group.

As outlined in the sections below for 'Principal Risks' of the Strategic Report, the Directors of the Company has put in place various risk management measures to protect the Company and those stakeholders who depend on it.

Principal decisions

We define principal decisions taken by the Board as those decisions in the financial year that are of a strategic nature and/or that are significant to any of our key stakeholder groups identified in section below for 'Engaging with Stakeholders' of the Strategic Report. Below we outline the principal decisions made by the Board. This explains how the Directors have engaged with, or in relation to, the different key stakeholder groups, and how stakeholder interests were considered over the course of decision-making:

- Business Plan and Budget
- Trading Mandates
- Trading Risk Tolerance Limits

The Directors consider that they have acted in accordance with their duties under Section 172 in the decisions taken during the year ended 31 December 2025. The level of information disclosed on the principal decisions above is consistent with the size and complexity of the business. We describe how stakeholders were considered during the decision-making process by summarising the relevant discussions. The relevance of each stakeholder group's interests may differ depending on the nature of decisions being considered. Board decisions will not necessarily result in a positive outcome for all our stakeholders, but by considering our purpose, values and business objectives, and having due regard for stakeholder relationships, the Board aims to ensure that its decisions promote the long-term success of the Company.

Business Environment, Principal Risk and Uncertainties

Operating in one of the most liquid and liberalised gas markets in the world, the Company faces uncertainty over demand and supply of UK gas market. The movement in global prices of natural gas, LNG and other related products (commodity price risk) influence the NBP gas price which is a key global pricing factor. The Company also faces seasonal and geographical price spreads.

The demand for LNG in the UK is a function of gas demand which has a direct correlation to pipeline gas supply and prices. In the broader context, demand for LNG is also a function of supply from other energy and related sources such as coal and renewables.

These factors lead to an increase in uncertainty arising from movements in prices for liquid natural gas, natural gas and related products. This risk, together with foreign exchange risk, constitutes market risk. Market, credit and liquidity risks represent the principal financial risks to the Company. These risks and the strategies in place to mitigate them are detailed in Note 25 to the financial statements.

LNG INVESTMENTS EUROPE LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2025

Operational control risk

The Company is subject to operational control risk around its normal course of business activities. Deficiencies in information systems, breaches of internal controls, human errors, management failure, operational problems, fraud or geopolitical instability could lead to disruption of business, financial loss, regulatory intervention or damaged reputation.

Inventory risk

The Company is potentially exposed to physical loss of inventories and decrease in value of its inventories due to commodity price movements.

Challenges

A milder than expected Winter 2024/25, coupled with robust LNG arrivals, allowed European gas storages to enter the heating season at near record levels reaching 83% full by early October'25 helping stabilize prices through Q4'24 and into Q1'25. However, the complete cessation of Russian pipeline gas transit via Ukraine on January 1, 2025, following the expiration of the transit agreement, introduced fresh supply risks that tightened market balances and pushed TTF prices above €48/MWh by year-end, despite forecasts for a moderate average of €33/MWh across 2025.

On the supply side, the permanent loss of over 15 bcm/year in Russian volumes via Ukraine unreplaced by alternative piped routes has accelerated Europe's pivot to LNG, with imports surging 25% year on year to a record 92 bcm in the first half of 2025 alone. This shift, amid heightened geopolitical tensions and a fragile global balance, has kept prices volatile, even as new U.S. facilities like Plaquemines LNG ramp up exports to offset some tightness. Storage levels, now projected to close the 2025/26 winter at around 35% even in a no Russian gas scenario, underscore the EU's improved resilience, but quicker than average draws in early winter have heightened refilling pressures for Summer'26.

Current premium spreads with European TTF benchmarks averaging \$13.46/MMBtu in 2025 versus \$12.89/MMBtu for Asian JKM continue to divert flexible LNG cargoes toward Europe, outcompeting price-sensitive Asian buyers like China, whose imports fell 22% year on year in H1'25. Dragon remains well-positioned in this dynamic, capitalising on sustained high utilisation rates during peak winter periods to deliver reliable regasification services, and Europe's LNG dependency endures through 2026.

Engaging With Stakeholders

Effective and high-quality engagement with stakeholders is vital for the success of the Company. Therefore, the Company regularly engages with shareholders, and other relevant stakeholders. Effective engagement with key stakeholders enables two-way dialogue, stakeholders are informed on a regular basis on Company's key activities and strategies which may potentially impact them, and Company obtains valuable information from key stakeholders which helps to shape Company's plans and strategies to ensure sustainability and future growth of the Company.

Senior leaders of the Company regularly participate in virtual meetings with clients, industry events and conferences. By carefully listening to the concerns of key stakeholders, the Company could successfully deliver bespoke solutions to its customers and improved the way it works with its customers, which serves as an invaluable differentiating factor in the competitive market.

Customers and suppliers

The Company and relevant Directors proactively and continuously engage with its customers and suppliers through both face-to-face meetings and digital platforms. The Company's only customer & supplier is PTUK which is a related company.

Other stakeholders

The Company also regularly engages with its bankers, government agencies and service providers to provide them with the required regulatory information to comply with laws and regulations. The Company has actively participated in the surveys conducted by the Office of National Statistics during the year.

**LNG INVESTMENTS EUROPE LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

Future developments

The Company will continue to structure innovative arrangement to attract delivery of cargoes into Dragon that will see it benefitting from positive downstream gas optimisation to recover some of the cost. This however will be dependent on gas prices in the UK and Europe which are a function of global LNG supply-demand balance.

Going concern

Directors of the Company continue to adopt the going concern basis in preparing the financial statements (details noted in the Directors' Report).

By order of the Board

Shamsairi Bin Mohd Ibrahim
Director



Date: 02 March 2026

**LNG INVESTMENTS EUROPE LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

Directors' report

The Directors of LNG Investments Europe Limited (LIEL) present their report together with the audited financial statements for the year ended 31 December 2025.

Petroleum Nasional Berhad is the ultimate parent undertaking and will together with its subsidiaries be referred to as "the PETRONAS Group".

Principal place of business

The Company is a private limited company incorporated and domiciled in the United Kingdom (Registered No. 09291740) and has its principal place of business at One New Ludgate, 9th Floor, 60 Ludgate Hill, London, EC4M 7AW, United Kingdom.

Holding company

The holding company is PETRONAS LNG Sdn. Bhd. ("PLSB"), a company incorporated and domiciled in Malaysia.

The ultimate holding company is Petroleum Nasional Berhad ("PETRONAS"), a company incorporated and domiciled in Malaysia. PETRONAS' financial statements are available at www.petronas.com.

The Company does not have any branch.

Engagement with Shareholders

The Company regularly engages with its shareholder, PETRONAS LNG Sdn. Bhd., with representation at the shareholder's Board of Directors meetings, providing regular updates on business performance, strategies and plans for future years, as well as participating in other regular meetings at the PETRONAS Group headquarters in Kuala Lumpur.

Issue of shares

No shares were issued during the year (2024: Nil).

Events after the reporting date

There were no significant events after the reporting period. See Note 31.

Dividends

The Company has not declared any dividend during the year (2024 - £Nil) and the Directors do not recommend the payment of a dividend.

Political Contribution

The Company made no political contribution or incurred any political expenditures during the year (2024 – £Nil).

Statement of Going Concern

The Company's business activities, together with the factors likely to affect its future development, its financial position, financial risk management objectives, engagement with customers, suppliers and stakeholders, its exposure to market, credit and liquidity risk are detailed out in the Strategic Report.

The financial position of the Company is set out in the financial statements. The Company is also part of the PETRONAS Group that has considerable financial resources.

PETRONAS LNG Sdn. Bhd. ("PLSB"), the immediate holding company, has agreed to provide financial support for a minimum of twelve months period from the date of signing of these financial statements in order for the Company

LNG INVESTMENTS EUROPE LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025

Statement of Going Concern (continued)

To continue to meet its liabilities as they fall due if necessary. As a result, the Company continue to adopt the going concern basis in preparing the financial statements.

Having considered the Company's financial position, as well as the Company's forecast and projections, the Directors have assessed the cashflows of the Company for 12 months from the date of these financial statements and concluded that the Company would require support from its immediate Parent entity in order to continue to be going concern. PLSB has agreed to provide financial support for a period of twelve months from the date of signing these financial statements in order for the Company to continue to meet its liabilities as they fall due. PLSB, has adequate resources to continue in operational existence for the foreseeable future. PLSB has performed stress testing on its cash position which indicates that there is no material risk that PLSB will be unable to provide financial support to the Company for a period of 12 months from the issuance of these financial statements. PLSB stressed the cash position to incorporate the capital and operational commitments of the group as outflows and the stress scenario demonstrates that PLSB would still be in a position to provide financial support to the Company to enable it to meet its liabilities as they fall due. Accordingly, Directors of the Company continue to adopt the going concern basis in preparing the financial statements.

Directors and Directors' interest

The Directors of the Company who served during the year and until the date of this report were as follows:

Shamsairi Bin Mohd Ibrahim	
Ezran Bin Mahadzir	
Marliza Binti Abdul Rahim	
Nik Mohsain Nik Ahmad	(Appointed on 14 January 2026)
Jazlinawati Osman	(Resigned on 12 January 2026)

The Directors in office at the end of the year who have interests and deemed interests in the shares of the Company and of its related corporations other than wholly-owned subsidiaries (including the interests of the spouses and/or children of the Directors who themselves are not Directors of the Company) as recorded in the Register of Directors' are as follows:

Number of shares in PETRONAS Chemicals Group Berhad				
Name	Balance at 01.01.2025	Bought	Sold	Balance at 31.12.2025
Directors				
Shamsairi Bin Mohd Ibrahim	6,000	-	-	6,000

Number of shares in PETRONAS Gas Berhad				
Name	Balance at 01.01.2025	Bought	Sold	Balance at 31.12.2025
Directors				
Shamsairi Bin Mohd Ibrahim	1,000	-	-	1,000

None of the other Directors holding office at 31 December 2025 had any interest in the ordinary shares of the Company and of its related corporations during the financial year.

Directors Remuneration

Please see Note 23

Directors Indemnity Provisions

During the period under review, the Company had in force an indemnity provision in favour of the Directors against liability in respect of proceedings brought by third parties, subject to the conditions set out in Section 234 of the Companies Act 2006. Such qualifying third-party indemnity provision remains in force as at date of approving the Directors' report.

**LNG INVESTMENTS EUROPE LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

Financial Risk Management

The Company uses financial instruments to achieve financial risk management objectives and mitigate price risk, credit risk, liquidity risk and cash flow risk as mentioned in Note 25.

Engagement with suppliers and customers and future developments

Directors have disclosed their engagement with suppliers and customers and future developments related to the Company in the Strategic Report.

Auditors

Pursuant to Section 487 of the Companies Act 2006, In the absence of a notice proposing that the appointment be terminated, Ernst & Young LLP will be deemed to be re-appointed as the Company's auditor for the next year. Refer to Note 10 for Auditors Remuneration.

Directors' Statement as to the Disclosure of Information to the Auditor

The Directors who held office at the date of approval of this Directors' Report confirm that, so far that they are aware, there is no relevant audit information (as defined by Section 418(3) of the Companies Act 2006) of which the Company's auditor is unaware; and each Director has taken all steps that he or she ought to have taken as a Director to make himself or herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Directors' Energy and Carbon Report

The directors report the Company's sources of UK energy use as required by the Streamlined Energy and Carbon Reporting (SECR) frameworks. The report presents the company's UK energy use between 1 January to 31 December 2025, the Company's financial year.

The Company has identified all sources of energy consumption and associated greenhouse gas (GHG) emissions. The categories are outlined as follows:

Scope 1: energy consumption and GHG emissions from activities owned or directly controlled by the Company.

Scope 2: energy consumption and GHG emissions associated with consumption of purchased electricity, heat, steam and cooling, which are a consequence of the Company's activities, but which occur at sources that the Company does not own or control.

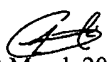
Scope 3: emissions from sources controlled by external enterprises in the Company's supply chain that are a consequence of the Company's actions, which occur at sources which the Company does not own or control and which are not classed as Scope 2 emissions.

The Company's energy consumption is primarily linked to its UK-based activities, specifically involving the transportation of liquefied natural gas (LNG) for regasification in the UK. In 2025, the Company utilises transport fuel with total energy consumption of 854,374.11 kWh for journeys that conclude within the UK (2024: nil). This consumption falls under Scope 3 emissions as the Company does not own or directly control the vehicle.

For the reporting period, the Company's energy use is derived solely from the fuel used in the transportation of LNG. The Company does not incur Scope 1 or Scope 2 emissions, as it does not purchase electricity and does not employ any personnel.

By Order of the Board

Shamsairi Bin Mohd Ibrahim
Director

Date:  02 March 2026

LNG INVESTMENTS EUROPE LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE YEAR ENDED 31 DECEMBER 2025

Statement of Directors' Responsibilities

The Directors are responsible for preparing the annual report and the financial statements in accordance with applicable United Kingdom law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the company financial statements in accordance with UK-adopted international accounting standards ("IFRSs"), in conformity with the requirements of the Companies Act 2006. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- provide additional disclosures when compliance with the specific requirements in IFRSs is insufficient to enable users to understand the impact of particular transactions, other events and conditions on the group and company financial position and financial performance;
- in respect of the company financial statements, state whether UK-adopted international accounting standards "in conformity with the requirements of the Companies Act 2006 have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a strategic report and directors' report that comply with that law and those regulations. The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the company's website.

By Order of the Board

Shamsairi Bin Mohd Ibrahim
Director



Date: 02 March 2026

**LNG INVESTMENTS EUROPE LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LNG INVESTMENTS EUROPE LIMITED

Opinion

We have audited the financial statements of LNG Investments Europe Limited for the year ended 31 December 2025 which comprise the Statement of Profit or Loss and Other Comprehensive Income, the Statement of Changes in Equity, the Statement of Financial Position and the Statement of Cash Flows and the related notes 1 to 31, including *material accounting policy information*. The financial reporting framework that has been applied in their preparation is applicable law and UK adopted international accounting standards.

In our opinion, the financial statements:

- ▶ give a true and fair view of the company's affairs as at 31 December 2025 and of its profit for the year then ended;
- ▶ have been properly prepared in accordance with UK adopted international accounting standards; and
- ▶ have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of *12 months from when the financial statements are authorised for issue*.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report. However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the company's ability to continue as a going concern.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of the other information, we are required to report that fact.

We have nothing to report in this regard.

**LNG INVESTMENTS EUROPE LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- ▶ the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- ▶ the strategic report and directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 11, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Explanation as to what extent the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect irregularities, including fraud. The risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below. However, the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management.

- We obtained an understanding of the legal and regulatory frameworks that are applicable to the company and determined that the most significant are Companies Act 2006, International Financial Reporting Standards, the relevant direct and indirect tax compliance, and UK data protection laws.
- We understood how the company is complying with those frameworks by performing inquiries of management, those charged with governance and those responsible for legal and compliance procedures to understand the Company maintains and communicates its policies and procedures in these areas. We corroborated our inquiries through reading the board minutes held during the year, and up to the auditor's report date.

**LNG INVESTMENTS EUROPE LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

- We assessed the susceptibility of the Company's financial statements to material misstatement, including how fraud might occur by considering the risk of management override, specifically relating to net trading income, revenue and onerous contract provision. Based on this, we:
 - Performed test of details over material net trading margin and revenue transactions and traced these to subsequent cash settlements.
 - Performed tests of details of journal entries, focusing on journals recorded near the year end, high-risk manual postings and checked the correctness of the opening balances carried forward and reviewed them for completeness.
 - Reviewed the discounted cash flow model, with the involvement of internal specialist, in respect of the onerous contract provision, focusing on management's assumptions and estimates.
- Based on this understanding we designed our audit procedures to identify noncompliance with such laws and regulations. Our procedures involved performing inquiries of senior management and those charged with governance and through reading of board minutes.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Kiran Jamil (Senior Statutory Auditor)

*for and on behalf of Ernst & Young LLP, Statutory Auditor
London*

Date:

LNG INVESTMENTS EUROPE LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

		2025	2024
	Notes	£'000	£'000
Net trading income/(expense)	30	37,328	(17,866)
Cost of LNG regasification		(11,060)	(20,887)
Net gas trading income/(expense)		26,268	(38,753)
Revenue from contracts with customers	4	99,078	4,283
LNG cost of revenue		(93,467)	-
Gross profit/(loss)		31,879	(34,470)
Other (expense)/ income – net	5	(1,814)	3,048
Administrative expenses		(6,844)	(2,133)
Operating profit/(loss)	6	23,221	(33,555)
Finance income	7	3,974	7,324
Finance cost	8	(8,786)	(11,005)
Profit/(Loss) before taxation		18,409	(37,236)
Income tax benefit	11.2	112	5,234
PROFIT/(LOSS) FOR THE YEAR		18,521	(32,002)
Other comprehensive income net of tax		-	-
TOTAL COMPREHENSIVE PROFIT/(LOSS) FOR THE YEAR		18,521	(32,002)

The notes set out on pages 19 to 42 are an integral part of these financial statements.

LNG INVESTMENTS EUROPE LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	Share capital £'000	Retained deficit £'000	Total £'000
As at 1 January 2024		361,700	(361,038)	662
Profit/(Loss) for the year		-	(32,002)	(32,002)
Issue of shares	18	-	-	-
As at 31 December 2024		<u>361,700</u>	<u>(393,040)</u>	<u>(31,340)</u>
As at 1 January 2025		361,700	(393,040)	(31,340)
Profit/(Loss) for the year		-	18,521	18,521
Issue of shares	18	-	-	-
As at 31 December 2025		<u>361,700</u>	<u>(374,519)</u>	<u>(12,819)</u>

The notes set out on pages 19 to 42 are an integral part of these financial statements.

LNG INVESTMENTS EUROPE LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

	Notes	2025 £'000	2024 £'000
ASSETS			
Property, plant and equipment	12	1,069	1,069
Derivative assets	16	518	-
TOTAL NON-CURRENT ASSETS		1,587	1,069
Inventories	13	11,628	28,802
Trade and other receivables	15	97,796	153,592
Derivative assets	16	11,967	1,923
Cash and cash equivalents	17	121,476	23,955
TOTAL CURRENT ASSETS		242,867	208,272
TOTAL ASSETS		244,454	209,341
EQUITY			
Share capital	18	361,700	361,700
Retained deficit		(374,519)	(393,040)
TOTAL EQUITY		(12,819)	(31,340)
LIABILITIES			
Onerous contract provision	22	124,223	162,979
Derivative liabilities	20	-	100
Deferred tax provision	11	-	112
TOTAL NON-CURRENT LIABILITIES		124,223	163,191
Trade and other payables	19	72,462	9,715
Onerous contract provision	22	45,315	49,755
Derivative liabilities	20	15,273	18,020
TOTAL CURRENT LIABILITIES		133,050	77,490
TOTAL LIABILITIES		257,273	240,681
TOTAL EQUITY AND LIABILITIES		244,454	209,341

The financial statements were approved by the Board of Directors on 02 March 2026 and signed on its behalf by:

Shamsairi Bin Mohd Ibrahim
Director



The notes set out on pages 19 to 42 are an integral part of these financial statements.

LNG INVESTMENTS EUROPE LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 £'000	2024 £'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit/(Loss) before taxation		18,409	(37,236)
<i>Adjustments for:</i>			
Interest income	7	(3,974)	(7,324)
Unwinding of discount	22	8,786	11,005
Utilisation of onerous contract provision	22	(51,983)	(42,835)
Net foreign exchange gain		(2,203)	(8,554)
Operating loss before changes in working capital		(30,965)	(84,944)
Change in trade and other receivables		53,603	(59,853)
Change in trade and other payables		62,747	(33,459)
Change in derivatives		(13,408)	58,718
Change in inventories		17,173	(27,093)
		89,150	(146,631)
Interest received		3,974	7,324
Interest paid		-	-
Tax received		2,194	914
Net cash generated/(used) in operating activities		95,318	(138,393)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		95,318	(138,393)
Net foreign exchange difference on cash and cash equivalents		2,203	8,554
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR		23,955	153,794
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	17	121,476	23,955

The notes set out on pages 19 to 42 are an integral part of these financial statements.

LNG INVESTMENTS EUROPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

1 BASIS OF PREPARATION

1.1 Statement of compliance

The financial statements of LNG Investments Europe Limited (the "Company") for the year ended 31 December 2025 were authorised for issue in accordance with a resolution of the Directors on 02 March 2026. The Company is incorporated and domiciled in the United Kingdom under the Companies Act 2006 as a private limited company by shares. The address of the registered office is given on the Company information page. The principal activities of the Company are set out in the Strategic Report on pages 4-7.

The financial statements of the Company have been prepared in accordance with UK-adopted international accounting standards.

As of 1 January 2025, the Company had adopted amendments to IFRS and IFRS Interpretation Committee ("IFRIC") (collectively referred to as "pronouncements") that have been issued by the International Accounting Standard Board ("IASB") as described fully in Note 28. The adoption of these pronouncements does not have any material impact to the financial statements of the Company.

IASB has also issued new and revised pronouncements which are not yet effective for the Company and therefore, have not been adopted for in these financial statements. These pronouncements including their impact on the financial statements in the period of initial application are set out in Note 29. Neither the entity nor others have powers to amend the financial statements after issue.

1.2 Basis of measurement

The financial statements have been prepared on a historical cost basis, except that, as disclosed in the accounting policies below, certain items are measured at fair value.

Going concern

Having considered the Company's financial position, as well as the Company's forecast and projections, the Directors have assessed the cashflows of the Company for 12 months from the date of these financial statements and concluded that the Company would require support from its immediate Parent entity in order to continue to be going concern. PLSB has agreed to provide financial support for a minimum of twelve-month period from the date of signing these financial statements in order for the Company to continue to meet its liabilities as they fall due. PLSB has adequate resources to continue in operational existence for the foreseeable future. PLSB has sufficient cash resources that would put it in a position to provide financial support to the Company to enable it to meet its liabilities as they fall due. Accordingly, Directors of the Company continue to adopt the going concern basis in preparing the financial statements.

1.3 Functional and presentation currency

The financial statements are measured using the currency of the primary economic environment in which the entity operates ("the functional currency"). The Company's financial statements are presented in GBP Sterling ("£"), which is the Company's functional currency. All values are rounded to the nearest thousand (£'000), except when otherwise indicated.

LNG INVESTMENTS EUROPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES

The following are the material accounting policies applied by the Company in preparing its financial statements:

2.1 Net trading income

Net trading income is attributable to the Company's main business activities. The Company undertakes significant activities which, for the purposes of disclosure in the financial statements of the Company have been classified as 'trading'.

All commodity contracts and derivative financial instruments entered into by the Company as part of its gas trading activities are recognised in the financial statements on the date of trade. Net trading income includes realised gains/(losses) on all commodity physical contracts and financial derivatives. All open gas forward and gas futures contracts are carried at their mark-to-market value on balance sheet date and unrealised gains and losses are recognised within the net trading income/(losses).

Costs incurred by the Company arising from the use of Dragon LNG import storage and regasification terminal are presented within Cost of LNG regasification, which are attributed to both net trading income and cancellation income/option fees and operating margin income which are presented within revenue from contracts with customer (Note 4).

2.2 Trade and other receivables

A receivable is recognised if an amount of consideration that is unconditional is due from the customer (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section 2.9 i) Financial instruments – initial recognition and subsequent measurement. This also includes a tax receivable and a collateral balance.

2.3 Revenue recognition

A breakdown of revenue is disclosed in Note 4 to the financial statements. Revenue is measured based on the consideration specified in a contract with a customer and exclude amounts collected on behalf of third parties. The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset. An entity transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognises revenue over time, if one of the following criteria is met:

- (a) the customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs;
- (b) the entity's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced; or
- (c) the entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

If a performance obligation is not satisfied over time in accordance with the above criteria, an entity satisfies the performance obligation and recognises revenue at a point in time.

Revenue from cancellation and option fees and recovery charges are recognised based on consideration specified the contracts with customers.

2.4. Finance costs

All financing costs are expensed in the period they occur. Financing costs consist of interest and other costs that the Company incurs in connection with the borrowing of funds as well as the unwinding of Onerous contract provision.

LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.5 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Income tax is recognised in the profit or loss except to the extent it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax

Current tax expense is the expected tax payable on the taxable income for the year, using the statutory tax rates at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax

Deferred tax is provided for, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unabsorbed capital allowances, unused reinvestment allowances, unused investment tax allowances, unused tax losses and other unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unabsorbed capital allowances, unused reinvestment allowances, unused investment tax allowances, unused tax losses and other unused tax credits can be utilised.

Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill and the initial recognition of an asset or liability in a transaction which is not a business combination and that affects neither accounting nor taxable profit nor loss.

Deferred tax is measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the end of the reporting period. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities where they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Deferred tax asset is reviewed at each reporting date and is reduced to the extent that it is no longer probable that the future taxable profit will be available against which the related tax benefit can be realised. The tax expense represents the sum of the tax currently payable and deferred tax.

Global minimum top-up tax

The Company has adopted International Tax Reform – Pillar Two Model Rules – Amendment to IAS 12 upon its release on 23 May 2023. The amendments introduce a mandatory temporary exception to the accounting for deferred taxes arising from the jurisdictional implementation of the Pillar Two Model Rules as well as disclosure requirements on the exposure to Pillar Two income taxes upon adoption. The application by the respective entity is subject to when the law is being enacted or substantively enacted in the respective country jurisdiction.

The PETRONAS Group has performed a provisional Pillar Two assessment and concluded that the Company's jurisdiction has passed a transitional Country by Country Safe Harbour Test. As such, there will be no adjustment required in the financial statements.

**LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

In preparing the financial statements transactions in currencies other than the entity's functional currency (foreign currencies) are translated to the functional currencies at rates of exchange ruling on the transaction dates.

Monetary assets and liabilities denominated in foreign currencies at the reporting date have been retranslated to the functional currency at rates ruling on the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies, which are measured at fair value, are retranslated to the functional currency at the foreign exchange rates ruling at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in foreign currency are not retranslated.

Gains and losses on exchange arising from retranslation are recognised in the profit or loss, except for differences arising on the retranslation of equity instruments at FVOCI, which are recognised in equity and are never reclassified to profit or loss.

2.7 Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and/or accumulated impairment losses, if any. Tank heel has an indefinite useful life and therefore is not depreciated. Tank heel is the minimum level of LNG that is needed to maintain the operations at the Dragon LNG terminal.

2.8 Inventories

LNG is stated at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

2.9 Financial instruments

A financial instrument is recognised in the statement of financial position when, and only when the Company becomes a party to the contractual provisions of the instrument.

Regular way purchases or sales were recognised on the trade date i.e., the date that the Company commit to purchase or sell the financial asset.

A financial asset (unless it is a receivable without a significant financing component) and a financial liability is measured at fair value plus or minus, in the case of a financial instrument not at fair value through profit or loss, any directly attributable transaction cost incurred at the acquisition or issuance of the financial instrument.

i) Financial assets

Financial assets are classified as measured at amortised cost ("AC"), FVOCI or fair value through profit or loss ("FVTPL"), as appropriate.

The Company determines the classification of financial assets at initial recognition and are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

Financial assets at fair value through profit or loss

All financial assets not classified as measured at amortised cost or fair value through other comprehensive income as described below, are measured at fair value through profit or loss. This includes derivative financial assets (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument). On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at fair value through other comprehensive income as at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent measurement

Financial assets categorised as fair value through profit or loss are subsequently measured at their fair value with gains or losses recognised in the profit or loss.

LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.9 Financial instruments (continued)

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss.

Subsequent measurement

Effective interest method

Amortised cost was computed using the effective interest method. This method used effective interest rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument to the net carrying amount of the financial instrument. Amortised cost takes into account any transaction costs and any discount or premium on settlement.

Amortised cost of financial instruments

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets where effective interest rate is applied to the amortised cost.

Fair value through other comprehensive income

Debt instruments

This category comprises debt instruments where it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The debt instruments are not designated as at fair value through profit or loss.

Equity instruments

Fair value through other comprehensive income category also comprises investment in equity that are not held for trading, and the Company irrevocably elects to present subsequent changes in the investment's fair value in other comprehensive income. This election is made on an investment-by-investment basis.

Subsequent measurement

Financial assets categorised as fair value through other comprehensive income are subsequently measured at fair value with unrealised gains and losses recognised directly in other comprehensive income and accumulated under fair value through other comprehensive income reserve in equity. For debt instruments, when the investment is derecognised or determined to be impaired, the cumulative gain or loss previously recorded in equity is reclassified to the profit or loss. For equity instruments, the gains or losses accumulated in other comprehensive income are never reclassified to profit or loss.

Financial assets categorised as fair value through profit or loss are subsequently measured at their fair value with gains or losses recognised in the profit or loss. The methods used to measure fair value are stated in Note 2.12

**LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.9 Financial instruments (continued)

ii) Financial liabilities

The categories of financial liabilities at initial recognition are as follows:

Financial liabilities at fair value through profit or loss

Fair value through profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument), contingent consideration in a business combination and financial liabilities that are specifically designated into this category upon initial recognition.

On initial recognition, the Company may irrevocably designate a financial liability that otherwise meets the requirements to be measured at amortised cost as at fair value through profit or loss:

- a) if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise;
- b) a group of financial liabilities or financial assets and financial liabilities is managed and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about the Company is provided internally on that basis to the Company's key management personnel; or
- c) if a contract contains one or more embedded derivatives and the host is not a financial asset in the scope of IFRS 9, where the embedded derivative significantly modifies the cash flows and separation is not prohibited.

Financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair value with gains or losses, including any interest expense are recognised in the profit or loss.

For financial liabilities where it is designated as fair value through profit or loss upon initial recognition, the Company recognises the amount of change in fair value of the financial liability that is attributable to change in credit risk in the other comprehensive income and remaining amount of the change in fair value in the profit or loss, unless the treatment of the effects of changes in the liability's credit risk would create or enlarge an accounting mismatch.

Amortised cost

Subsequent to initial recognition, other financial liabilities are subsequently measured at amortised cost using the effective interest method.

Gains and losses are recognised in the profit or loss when the liabilities are derecognised as well as through the amortisation process.

iii) Derivative financial instruments

The Company use derivative financial instruments such as foreign currency swaps, forward contracts and futures and to manage certain exposures to fluctuations in foreign currency exchange rates and commodity prices.

Derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Any gains and losses arising from changes in fair value on derivatives during the year are recognised in the profit or loss.

In general, contracts to sell or purchase non-financial items to meet expected own use requirements are not accounted for as financial instruments. However, contracts to sell or purchase commodities that can be net settled or which contain written options are required to be recognised at fair value, with gains and losses recognised in the profit or loss.

**LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.9 Financial instruments (continued)

iii) Derivative financial instruments (continued)

An embedded derivative is recognised separately from the host contract where the host contract is not a financial asset, and accounted for separately if, and only if, the derivative is not closely related to the economic characteristics and risks of the host contract and the host contract is not measured at fair value through profit or loss. The host contract, in the event an embedded derivative is recognised separately, is accounted for in accordance with policy applicable to the nature of the host contract.

iv) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

2.10 Impairment

i) Financial assets

The Company recognises loss allowances for expected credit losses on financial assets measured at amortised cost.

The Company measures allowances on cash and cash equivalent at an amount equal to lifetime expected credit loss, that are determined to have low credit risk at the reporting date for which credit risk has not increased significantly since initial recognition and finance lease receivables, which are measured as 12-month expected credit loss.

Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating expected credit loss, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Companies historical experience and informed credit assessment and including forward-looking information, where available.

The Company assumes that the credit risk on a financial asset has increased significantly if it is past due.

The Company considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12-months after the reporting date.

The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Company is exposed to credit risk.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

**LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.10 Impairment (continued)

ii) Financial assets (continued)

An impairment loss in respect of debt investments measured at fair value through other comprehensive income is recognised in profit or loss and the allowance account is recognised in other comprehensive income.

All financial assets, except for those measured at fair value through profit or loss and equity investments measured at fair value through other comprehensive income, are subject to impairment.

iii) Other assets

The carrying amounts of other assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists, the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or the cash-generating unit to which it belongs exceeds its recoverable amount. Impairment losses are recognised in the profit or loss.

In respect of other assets, impairment losses are reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

A cash-generating unit is the smallest identifiable asset group that generates cash flows from continuing use that are largely independent from other assets and groups. An impairment loss recognised in respect of a cash-generating unit is allocated.

The recoverable amount is the greater of the asset's fair value less cost to sell and its value-in-use. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Reversals of impairment losses are credited to the profit or loss in the year in which the reversals are recognised.

2.11 Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise of cash at banks, deposits with licensed financial institutions and highly liquid investments which have an insignificant risk of changes in fair value and are used by the Company in the management of their short-term commitments. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of bank overdrafts and deposits restricted, if any.

LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.12 Fair value measurement

Fair value of an asset or a liability except for lease transactions is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

i) Financial instruments

The fair value of financial instruments that are actively traded in organised financial markets are determined by reference to quoted market bid prices at the close of business at the end of reporting date. For financial instruments where there is no active market, fair value is determined using valuation techniques. Such techniques may include using recent arm's length market transactions; reference to the current fair value of another instrument that is substantially the same; discounted cash flow analysis or other valuation models.

ii) Non-financial assets

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. Fair value is categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- | | |
|-----------------|--|
| Level 1: | Quoted prices (unadjusted) in active markets for identifiable assets or liabilities. |
| Level 2: | Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices). |
| Level 3: | Inputs for the asset or liability that are not based on observable market data (unobservable input). |

The fair value of an asset to be transferred between levels is determined as of the date of the event or change in circumstances that caused the transfer. The Company recognises transfers between levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

2.13 Provision

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The expense relating to a provision is presented in the statement of profit or loss net of any reimbursement. If the effect of the time value of money is material, a provision is determined by discounting the expected future outflow of economic resources at a pre-tax risk-free rate that reflects current market assessments of the time value of money and the risks specific to the liability. Where discounting is used, the accretion in the provision due to the passage of time is recognised as finance cost.

The amount recognised as a provision is the best estimate of the most likely outcome of the expenditure required to settle the present obligation at the reporting date. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Possible obligations whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company, are not recognised in the financial statements but are disclosed as contingent liabilities unless the possibility of an outflow of economic resources is considered remote.

Onerous contract

A provision for an onerous contract is recognised when the expected benefits to be derived by the Company from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The unavoidable costs under a contract reflect the least net cost of exiting from the contract, which is the lower of the cost of fulfilling it and any compensation or penalties arising from failure to fulfil it. The cost of fulfilling a contract comprises the costs that relate directly to the contract (i.e., both incremental costs and an allocation of costs directly related to contract activities). Before a provision is established, the Company recognises any impairment loss on the assets associated with that contract.

LNG INVESTMENTS EUROPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.13 Provision (Continued)

For subsequent measurement of the Onerous Contract Provision, the Company has adopted the PETRONAS Group A Principles & Guidelines. The Company reassesses the onerous provision on an annual basis to reflect any changes in key assumptions. Increase in provision and/or additional provision is recognised in financial statements when it is identified. If reassessed provision is lower than the carrying amount, management obtains sufficient evidence that indicators of provision has decreased or no longer exists. Management shall perform additional test to ensure that the reversal of provision is not sensitive to changes in parameters, by applying more prudent assumptions, before recognising the reversal amount in the financial statements.

2.14 Cost of LNG regasification

Cost of LNG regasification mainly includes the capacity costs related to the regasification facility at Dragon as well as the National grid capacity and send out costs. Also included is the utilisation in relation to the Onerous provision.

3 ACCOUNTING ESTIMATES, JUDGEMENTS AND ASSUMPTIONS

The preparation of financial statements in conformity with IFRS requires the Company to make judgements, estimates and assumptions that affect the application of the Company's accounting policies with respect to the carrying amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the reporting period. Actual results may differ from these estimates.

3.1 Significant judgments

Significant judgements are those made by the company when applying its accounting policies that are considered to have the most significant impact on amount recognised in financial statement.

Those judgements that are considered to have most significant impact on amounts recognised in the financial statements are described in Note 3.2.

3.2 Significant estimates and assumptions

Significant estimates and associated assumptions are those that have a significant risk of resulting in a material adjustment to carrying amounts of assets and liabilities within the next financial year. Estimates and underlying assumptions reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and any future periods affected.

Onerous Contract

The onerous contract under IAS 37 has been reassessed in 2025 and 2024 based mainly on two contracts:

- i) Throughput Agreement on Dragon plan management between PTUK, Dragon LNG Ltd and Shell Energy Europe Limited ("Throughput Agreement"); and
- ii) SLA between LIEL and PTUK, whereby the latter recharges to the former all costs in relation to the Throughput Agreement.

In view of the high fixed maintenance costs of the plant (indexed as per the Throughput agreement) which are approximately £41.7 million (2024: £41.3 million) per year on average, over and above the variable costs for gas send-out and marine services, the total unavoidable costs are fairly high and exceed the economic benefits to the Company leading to negative forecasted cash flows of £170 million (2024: £213 million) from 2026 to expiry of the Throughput Agreement in August 2029. As a result, the Company continues to recognise an onerous contract provision in 2025 and 2024.

The Company uses a range of long-term assumptions including prices, volume, margins and costs based on past performance and management expectations of market development in the estimation of the present value of the provision.

LNG INVESTMENTS EUROPE LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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3 ACCOUNTING ESTIMATES, JUDGEMENTS AND ASSUMPTIONS (CONTINUED)

3.2 Significant estimates and assumptions (continued)

Classification of Financial Instruments

A contract to buy or sell commodities is not in the scope of IFRS 9 unless it can be settled net in cash or another financial instrument, or by exchanging financial instruments, include the following ways:

- (i) when the terms of the contract permit either party to settle it net in cash or another financial instrument or by exchanging financial instruments;
- (ii) when the Company has a practice of settling similar contracts net in cash or another financial instrument or by exchanging financial instruments (whether with the counterparty, by entering into offsetting contracts or by selling the contract before its exercise or lapse);
- (iii) when, for similar contracts, the Company has a practice of taking delivery of the underlying and selling it within a short period after delivery for the purpose of generating a profit from short term fluctuations in price or dealer's margin; and
- (iv) when the underlying commodity is readily convertible to cash.

The Company applies judgment to determine whether contracts to buy or sell commodities meet the definition of a derivative and to determine appropriate presentation and classification of transactions.

The level of uncertainty in the key estimates and assumptions to determine expected future revenues and costs can vary with the complexity of each contract and with the form of service delivery. The sensitivity analysis for the key assumptions is in Note 22.

4 REVENUE FROM CONTRACTS WITH CUSTOMERS	2025 £'000	2024 £'000
Sales of LNG	96,645	-
Cancellation income and option fees	-	1,467
Operating margin	<u>2,433</u>	<u>2,816</u>
	<u>99,078</u>	<u>4,283</u>

Incoterms	Timing of recognition or method used to recognise revenue	Significant payment terms
• FOB	Revenue is recognised when the Company delivers the LNG on board the vessel nominated by the customer at loading port specified in the contract	Standard payment term for LNG shall be made within 7 to 10 days of the invoice date, unless the contract stipulates different payment terms.
• DES	Revenue is recognised when the Company delivers the LNG at a destination point specified in the contract	Standard payment term for the LNG supplied shall be made within 7 to 10 days, unless the contract stipulates different payment terms.

Nature of goods and services	Method used to recognise revenue	Significant payment terms
Cancellation income, options fees and Operating margin	Revenue is recognised when the Company's right to receive payment is established.	Various payment terms as per invoiced.

The Company does not have any contract balances. There are no variable elements in consideration, obligation for returns or refunds nor warranty in the provision of goods and services by the Company.

5 OTHER (EXPENSE)/INCOME - NET	2025 £'000	2024 £'000
Recovery charges	1,377	1,199
Net (Loss)/Gain on foreign exchange	<u>(3,191)</u>	<u>1,849</u>
	<u>(1,814)</u>	<u>3,048</u>

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	2025 £'000	2024 £'000
6 OPERATING PROFIT/(LOSS)		
Operating profit is stated after (crediting)/charging:		
Gain/(Loss) on foreign exchange (Note 5)	3,191	(1,849)
Movement in inventory (within net trading income)	17,173	(27,093)
Utilisation of provision (Note 22) (within Cost of LNG regasification)	(51,809)	(45,587)
Addition of provision (Note 22) (within Cost of LNG regasification)	(173)	2,752
	2025 £'000	2024 £'000
7 FINANCE INCOME		
Interest on bank balance	3,974	7,324
	2025 £'000	2024 £'000
8 FINANCE COST		
Unwinding of onerous contract provision (Note 22)	8,786	11,005
	8,786	11,005
9 EMPLOYEE BENEFITS EXPENSE		
The Company did not have employees during the period (2024: nil)		
	2025 £'000	2024 £'000
10 AUDITORS' REMUNERATION		
Audit of the financial statements	200	294
Non-audit services - taxation compliance services	9	30
	209	324
11 TAXATION	2025 £'000	2024 £'000
11.1 The taxation charge/(credit) is made up as follows:		
<i>Current tax:</i>		
Adjustment in respect of prior periods	-	(125)
	-	(125)
<i>Deferred tax:</i>		
Origination and reversal of temporary differences	(112)	(5,216)
Under/(over)-provision relating to prior years	-	107
	(112)	(5,109)
Total Income tax benefit	(112)	(5,234)
11.2 Factors affecting tax charge / (credit) for the period:		
The tax assessed for the period is lower than the standard rate of corporation tax in the UK (25.00%) (2024: 25.00%). The differences are explained below:		

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11 TAXATION (CONTINUED)

11.2 Factors affecting tax charge / (credit) for the period (continued):

	2025 £'000	2024 £'000
Profit/(Loss) on ordinary activities before tax	18,409	(37,236)
Profit/(Loss) on ordinary activities multiplied by standard rate of Corporation tax in the UK of 25.00% (2024: 25.00%)	4,602	(9,309)
<i>Effects of:</i>		
Impact of tax losses and other temporary differences arising in the period in respect of which deferred tax not recognised	(4,720)	263
Effects of group relief/other reliefs	6	3,830
Prior year adjustments	-	(18)
Total tax benefit for the year	<u>(112)</u>	<u>(5,234)</u>

A potential deferred tax asset of £80,087,513 (2024: £87,734,482) has not been recognised at the Balance Sheet date, on the basis that the availability of suitable taxable profits arising in the future against which the temporary difference could reverse is not considered probable.

The Company's current tax and deferred tax position is derived based on current tax legislation and best available information at the reporting date.

The assessment of the Pillar Two income taxes is performed based on best financial statements information available for the constituent entities in the Group as at reporting period by applying the requirements issued by Organisation for Economic Co-operation and Development ("OECD"). Based on the assessment carried out for the period, the Pillar Two effective tax rates in which the Group operates are above 15%. Therefore, the Group does not expect a potential exposure to Pillar Two top-up taxes.

	2025 £'000	2024 £'000
11.3 Deferred tax		
The deferred balance comprises of the following:		
Deferred tax liabilities		
Property, plant and equipment	232	224
Deferred tax assets		
Unused tax losses	(232)	(112)
Net deferred tax liability	<u>-</u>	<u>112</u>

£'000	Opening balance	Recognised in profit or loss	Closing balance
Deferred tax movements			
31 December 2025			
Property, plant and equipment	224	7	231
Unrealised hedging gains or losses	-	-	-
Carried forward tax losses	(112)	(119)	(231)
	<u>112</u>	<u>(112)</u>	<u>-</u>
 31 December 2024			
Property, plant and equipment	-	224	224
Unrealised hedging gains or losses	10,442	(10,442)	-
Carried forward tax losses	(5,221)	5,109	(112)
	<u>5,221</u>	<u>(5,109)</u>	<u>112</u>

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12 PROPERTY, PLANT AND EQUIPMENT	2025 £'000	2024 £'000
Tank Heel	1,069	1,069
	<u>1,069</u>	<u>1,069</u>

Given the nature of the asset there is no depreciation charged in the financial statements. At 31 December 2025 its fair value less cost to sell represents the recoverable amount at year end. At year end, the recoverable amount is greater than the cost of the asset, thus no impairment is recognised during the year.

13 INVENTORIES	2025 £'000	2024 £'000
Liquefied natural gas held for regasification	11,628	28,802

14 OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

The following tables shows the amounts recognised for financial assets and liabilities, which are subject to offsetting arrangements, on a gross basis and the amounts offset in the Statement of Financial Position.

31 December 2025	Gross amounts recognised financial assets (liabilities) £'000	Amounts set off £'000	Net amount presented in the Statement of Financial Position £'000
Trade and Other Receivables			
Receivables from related parties	106,073	(8,277)	97,796
	<u>106,073</u>	<u>(8,277)</u>	<u>97,796</u>
Trade and Other Payables			
Payable to related parties	(80,529)	8,277	(72,252)
Other Payables	(210)	-	(210)
	<u>(80,739)</u>	<u>8,277</u>	<u>(74,462)</u>
Derivative Assets	19,946	(7,461)	12,485
Derivative Liabilities	(22,734)	7,461	(15,273)
	<u>(2,788)</u>	<u>-</u>	<u>(2,788)</u>

31 December 2024	Gross amounts recognised financial assets (liabilities) £'000	Amounts set off £'000	Net amount presented in the Statement of Financial Position £'000
Trade and Other Receivables			
Receivables from related parties	201,590	(50,192)	151,398
Receivables from related parties	<u>201,590</u>	<u>(50,192)</u>	<u>151,398</u>
Trade and Other Payables			
Payable to related parties	(59,608)	50,192	(9,416)
Other Payables	(299)	-	(299)
	<u>(59,907)</u>	<u>50,192</u>	<u>(9,715)</u>
Derivative Assets	14,298	(12,375)	1,923
Derivative Liabilities	(30,495)	12,375	(18,120)
	<u>(16,197)</u>	<u>-</u>	<u>(16,197)</u>

The amounts set off above relate to receivable from and payable to PTUK which are subject to netting arrangements.

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	2025 £'000	2024 £'000
15 TRADE AND OTHER RECEIVABLES		
Receivables from related parties	97,796	151,398
Tax Receivables	-	2,194
Trade and Other Receivables	<u>97,796</u>	<u>153,592</u>
Receivable from related parties arose in the normal course of business. Due to the nature of these receivables the carrying value approximates their fair value.		
16 DERIVATIVE ASSETS	2025 £'000	2024 £'000
Commodity derivative contracts	11,240	1,880
Foreign exchange derivative contracts	1,245	43
Total derivative assets	<u>12,485</u>	<u>1,923</u>
Classified as non-current assets	518	-
Classified as current assets	<u>11,967</u>	<u>1,923</u>
	<u>12,485</u>	<u>1,923</u>
17 CASH AND CASH EQUIVALENTS	2025 £'000	2024 £'000
Cash at banks	<u>121,476</u>	<u>23,955</u>
Cash at banks balances are interest bearing.		
18 SHARE CAPITAL	2025 No. of shares (‘000)	2024 No. of shares (‘000)
Authorised		
As at 1 January	392,600	392,600
Issued during the year	-	-
As at 31 December	<u>392,600</u>	<u>392,600</u>
	2025 £'000	2024 £'000
As at 1 January	392,600	392,600
Issued during the year	-	-
As at 31 December	<u>392,600</u>	<u>392,600</u>
	2025 No. of shares (‘000)	2024 No. of shares (‘000)
Ordinary shares of £1 each issued and fully paid		
As at 1 January	361,700	361,700
Issued during the year	-	-
As at 31 December	<u>361,700</u>	<u>361,700</u>
	2025 £'000	2024 £'000
As at 1 January	361,700	361,700
Issued during the year	-	-
As at 31 December	<u>361,700</u>	<u>361,700</u>

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18 SHARE CAPITAL (CONTINUED)

Ordinary Shares

Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company.

Dividends

No dividends were paid during the financial year (2024: Nil)

19 TRADE AND OTHER PAYABLES	2025 £'000	2024 £'000
Payables to related parties	72,252	9,416
Other Payables	210	299
Trade and Other Payables	<u>72,462</u>	<u>9,715</u>

Payables to related parties arose in the normal course of business these including collateral balances. Due to the nature of these payables, the carrying value approximates their fair value.

20 DERIVATIVE LIABILITIES	2025 £'000	2024 £'000
Commodity derivative contracts	14,037	18,120
Foreign exchange derivative contracts	1,236	-
Total derivative liabilities	<u>15,273</u>	<u>18,120</u>
Classified as non-current liabilities	-	100
Classified as current liabilities	<u>15,273</u>	<u>18,020</u>
	<u>15,273</u>	<u>18,120</u>

21 BORROWINGS

The company had the below financing facilities:

Facility Provider	Type	Facility Limit	Cost Of Borrowing	Expiry Date
Citibank N.A., London	Trade Finance	GBP30 Mil	SOFR + margin per annum	Not applicable
Petroliam National Berhad ("PETRONAS")	Revolving Credit Facility	USD 900 Mil	SOFR + margin per annum	30.12.2029

The facility with Citibank N.A., London is uncommitted, all other facilities are committed.

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22 ONEROUS CONTRACT PROVISION	2025 £'000	2024 £'000
Balance at 1 January	212,734	244,564
Utilisation of provision	(51,809)	(45,587)
Unwinding cost	8,786	11,005
(Reversal)/addition arising from change or assumptions	(173)	2,752
Balance at 31 December	<u>169,538</u>	<u>212,734</u>

An onerous contract provision under IAS 37 continues to be recognised in FY2025 in relation to the SLA Agreement between LIEL and PTUK whereby, the latter recharges to the former all costs in relation to Throughput Agreement on Dragon plant management between PTUK, Dragon LNG Ltd and Shell. An amendment to this SLA clarifying PTUK's right to recharge the throughput costs was signed in January 2026 and has been factored in the onerous contract assessment.

As a result, management of the Company prepared discounted cash flow which resulted in a provision of £170 million (2024: 213 million) as at 31st December 2025. This is due to high fixed maintenance cost of the plant which is approximately on average £41.6 million per year until the expiry of the Throughput Agreement in August 2029.

Non-current liabilities amount to £124.2 million (2024: £163.0 million) and current liabilities amount to £45.3 million (2024: £49.7 million).

Sensitivity analysis for a given market variable provided in this Note, discloses the effect on the onerous contract provision and consequently on the profit or loss and equity as at 31 December 2025 assuming that a reasonable possible change in the relevant market variable had occurred as at 31 December 2025. Reasonable possible changes in market variables used in the sensitivity analysis are based on implied volatilities and based on management judgment.

With all other variables held constant, changes in the assumptions could result in the following changes in the onerous contract provision respectively:

Assumption	Increase	Impact – increase/(decrease)
Market prices (NBP and TTF)	5%	(£3.3 million)
Discount rate	75 basis points	(£2.8 million)
Inflation rate	75 basis points	£2.5 million
Foreign exchange rate (USD and EUR)	5%	£2.9 million
Diversion margin (USD/mmbtu)	20%	(£3.4 million)

23 RELATED PARTIES DISCLOSURES

For the purposes of these financial statements, parties are considered to be related to the Company if the Company has the ability, directly or indirectly, to control or jointly control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control. Related parties may be individuals or other entities.

Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company either directly or indirectly and an entity that provides key management personnel services to the Company. The key management personnel include all the Directors of the Company.

Key management personnel compensation:

	2025 £'000	2024 £'000
Emoluments	19	17

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23 RELATED PARTIES DISCLOSURES (CONTINUED)

Directors' remuneration

The directors of this Company (other than the CEO) are remunerated by the ultimate parent company, PETRONAS. The aggregate remuneration paid to directors in respect of their services as a Director of this Company amounted to GBP 19,618 (2024: GBP 17,292), this also included the accrued retirement benefits of one of the directors. The emolument paid to the highest paid director was GBP 13,444 (2024: GBP 11,726).

In addition to the transactions detailed elsewhere in the financial statements, the Company had the following transactions with related parties during the year

	Sales of goods and services £'000	Purchases of goods and services £'000	Amount owed by at year end £'000	Amount owed to year end £'000
PETCO Trading (UK) Limited				
Wholly-owned by PETCOSB				
As at 31 December 2025 (<i>direct charges</i>)	627,553	633,569	101,112	78,358
As at 31 December 2024 (<i>direct charges</i>)	382,091	459,226	151,398	25,656

Sales and purchase of goods includes sales and purchases of LNG and natural gas at the prevailing market rate which are included within the net trading income. Sales and purchase of services includes administration and management related fee and recharge of expenses. Amount owed by at year end includes derivative asset position, collateral related to derivative liability position and accrued income with PTUK. Besides, amount owed to includes derivatives liability and accrued expense on delivered gas. The outstanding balances are unsecured and settled by bank payment in the respective currencies.

24 IMMEDIATE AND ULTIMATE PARENT UNDERTAKING

The immediate parent undertaking of the Company is PETRONAS LNG Sdn Bhd, a Company incorporated in Kuala Lumpur, Malaysia. The ultimate parent undertaking of the Company is Petroliam Nasional Berhad ("PETRONAS"), a Company incorporated in Malaysia. Copies of PETRONAS's financial statements can be obtained from Tower 1, PETRONAS Twin Towers, Kuala Lumpur City Centre, 50088, Kuala Lumpur Malaysia.

25 FINANCIAL INSTRUMENTS

As at 31 December 2025	AC £'000	FVTPL £'000	Total £'000
Financial assets			
Receivables from related parties	97,796	-	97,796
Derivative assets	-	12,485	12,485
Cash and cash equivalents	121,476	-	121,476
	<u>219,272</u>	<u>12,485</u>	<u>231,757</u>
Financial liabilities			
Trade and other payables	(72,462)	-	(72,462)
Derivative liabilities	-	(15,273)	(15,273)
	<u>(72,462)</u>	<u>(15,273)</u>	<u>(87,735)</u>
As at 31 December 2024	AC £'000	FVTPL £'000	Total £'000
Financial assets			
Trade and other receivables	151,398	-	151,398
Derivative assets	-	1,923	1,923
Cash and cash equivalents	23,955	-	23,955
	<u>175,353</u>	<u>1,923</u>	<u>177,276</u>

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25 FINANCIAL INSTRUMENTS (CONTINUED)

Financial liabilities

Trade and other payables	(9,715)	-	(9,715)
Derivative liabilities	-	(18,120)	(18,120)
	<u>(9,715)</u>	<u>(18,120)</u>	<u>(27,835)</u>

Financial risk management

The Company is exposed to various risks that are particular to its core business. These risks, which arise in the normal course of the Company's business, comprise credit risk, liquidity risk and market risk relating to interest rates, foreign currency exchange rates, and commodity prices. The Company has policies and guidelines in place that are based on a consistent approach in line with the established financial risk management across the PETRONAS. Risk taking activities are undertaken within acceptable level of risk or risk appetite, whereby the risk appetite level reflects business considerations and capacity to assume such risks. The risk appetite is established at Board level, where relevant, based on defined methodology and translated into operational thresholds.

The Company's goal in risk management is to ensure that the management understands, measures and monitors the various risks that arise in connection with their operations. Policies and guidelines have been developed to identify, analyse, appraise and monitor the dynamic risks facing the Company. Based on this assessment, the Company adopts appropriate measures to mitigate these risks in accordance with the Company's view of the balance between risk and reward.

Credit Risk

Credit risk is the potential exposure of the Company to losses in the event of non-performance by counterparties. The Company's exposures to credit risk arise principally from their receivables from customers. Credit risks are controlled in line with the PETRONAS Group policies and guidelines

The Company minimises credit risk by ensuring that all potential counterparties are assessed prior to registration and entering new contracts. Existing counterparties are also subject to regular reviews, including re-appraisal and approval of granted limits. The creditworthiness of counterparties is assessed based on an analysis of all available quantitative and qualitative data regarding business risks and financial standing, together with the review of any relevant third party and market information.

Management has taken reasonable steps to ensure that receivables that are neither past due nor impaired are stated at their realisable values. A significant portion of these receivables are regular customers that have been transacting with the Company.

At each reporting date, the Company assesses whether any of the trade receivables are credit impaired. The gross carrying amounts of credit impaired trade receivables are written off (either partially or full) when there is no realistic prospect of recovery. This is generally the case when the Company determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. Nevertheless, trade receivables that are written off could still be subject to enforcement activities.

Reports are prepared and presented to the management that cover the Company's overall credit exposure against limits and securities, exposure by segment and overall quality of the portfolio. Depending on the types of transactions and counterparty creditworthiness, the Company further mitigates, and limits risks related to credit by requiring collateral or other credit enhancements such as bank guarantees.

No collateral is required as most of the amounts are due from related companies.

The maximum exposure to credit risk is represented by the carrying amounts of each financial asset in the Statement of Financial Position. Exposure to losses increases with concentration of credit risk which may exist when a number of counterparties are involved in similar activities or operate in the same industry sector or geographical area, which may result in their ability to meet contractual obligations being impacted by changes in economic, political or other conditions. From 2022 onwards, the Company's principal customer is a related party as all its trade will go through the same related party. The creditworthiness of whom is assessed based on the analysis of all available quantitative and qualitative data regarding their business risks and financial standing. Refer to Note 14 for the gross carrying amounts of the financial assets.

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25 FINANCIAL INSTRUMENTS (CONTINUED)

Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's exposure to liquidity risk arises principally from its trade and other payables, borrowings and derivative liabilities. In managing its liquidity risk, the Company maintain sufficient cash and access to credit facilities. The financial liabilities are payable within 12 months.

Interest Rate risk

Interest rate risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of change in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's short-term obligations with floating interest rates. All interest rate exposures are monitored and managed in line with PETRONAS's policies and guidelines. The Company had no exposure related to interest rate risk.

Foreign currency exchange risk

The Company is exposed to varying levels of foreign exchange risk when it enters into transactions that are not denominated in the Company's functional currencies and/or when foreign currency monetary assets and liabilities are translated at the reporting date. The main underlying economic currencies of the Company's cash flows are GBP Sterling and US Dollars. The Company's foreign exchange management policy is to minimise economic and significant transactional exposures arising from currency movements. When deemed necessary and appropriate, the Company will enter into derivative financial instruments to hedge and minimise its exposures to the foreign currency movements.

	Denominated in USD			
	31.12.2025		31.12.2024	
	USD'000	£'000	USD'000	£'000
Trade and other payables	(76,740)	(57,018)	(4,994)	(3,959)
Cash and cash equivalents	138	103	2,394	1,908
Net exposure	(76,602)	(56,915)	(2,600)	(2,051)

	Denominated in EUR			
	31.12.2025		31.12.2024	
	EUR'000	£'000	EUR'000	£'000
Trade and other payables	(6,717)	(5,865)		
Derivative assets	5,951	5,196		
Derivative liabilities	(2,161)	(1,886)	-	-
Cash and cash equivalents	4,384	3,822	57	47
Net exposure	1,457	1,267	57	47

Sensitivity analysis for a given market variable provided in this Note, discloses the effect on profit or loss and equity as at 31 December 2025 and 2024 assuming that a reasonably possible change in the relevant market variable had occurred at 31 December 2025 and 2024 and been applied to the risk exposures in existence at that date. Reasonably possible changes in market variables used in the sensitivity analysis are based on implied volatilities, where available, or historical data for equity and commodity prices and foreign exchange rates. Reasonably possible changes in foreign exchange rates are based on management judgment and historical experience.

The sensitivity analysis is hypothetical and should not be considered to be predictive of future performance because the Company's actual exposure to market prices is constantly changing with changes in the Company's portfolio of among others, commodity, debt and foreign currency contracts. Changes in fair values or cash flows based on a variation in a market variable cannot be extrapolated because the relationship between the change in market variable and the change in fair value or cash flows may not be linear. In addition, the effect of a change in a given market variable is calculated independently of any change in another assumption and mitigating actions that would be taken by the Company. In reality, changes in one factor may contribute to changes in another, which may magnify or counteract the sensitivities.

The following table demonstrates the indicative pre-tax effects on the profit or loss and equity of applying reasonably foreseeable market movements in the following currency exchange rates.

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25 FINANCIAL INSTRUMENTS (CONTINUED)

Foreign currency exchange risk (continued)

	Appreciation in foreign currency rate %	Effect on profit or (loss) GBP'000
31.12.2025		
USD	10	(5,692)
EUR	10	127
31.12.2024		
USD	10	(205)
EUR	10	5

Commodity price risk

The Company is exposed to changes in gas prices which may affect the value of the Company's assets, liabilities or expected future cash flows. To mitigate these exposures from a business perspective, the Company enters into various financial instruments. In effecting these transactions, the Company operates within policies and procedures designed to ensure that risks are minimised. All financial instruments positions are marked-to-market and reported to management for performance monitoring and risk management purposes on a daily basis. Since the Company undertakes hedging using commodity derivatives for the majority of its transactions, a change in commodity price is not likely to result in a significant impact on the Company's profit or loss and equity.

The following table shows the effect of price changes from natural gas on the company:

	Change in year end price	Effect on profit or (loss) before taxation 2025 £'000	Effect on profit or (loss) before taxation 2024 £'000
Gas Prices	5%	(4,933)	(8,436)

Fair value information

The carrying amounts of financial instruments carried at amortised cost, such as, cash and cash equivalents, short-term receivables and payables reasonably approximate their fair values due to the relatively short term nature of these instruments.

The following table provides the fair value measurement hierarchy of the Company's assets and liabilities:

	Financial instruments carried at fair value			
	Level 1 £'000	Level 2 £'000	Level 3 £'000	Total £'000
31.12.2025				
Financial Assets:				
Commodity derivative contracts	-	11,240	-	11,240
Foreign exchange derivative contracts	-	1,245	-	1,245
	-	<u>12,485</u>	-	<u>12,485</u>
31.12.2025				
Financial Liabilities:				
Commodity derivative contracts	-	14,037	-	14,037
Foreign exchange derivative contracts	-	1,236	-	1,236
	-	<u>15,273</u>	-	<u>15,273</u>

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25 FINANCIAL INSTRUMENTS (CONTINUED)

Fair Value information (Continued)

31.12.2024	Financial instruments carried at fair value			Total £'000
	Level 1 £'000	Level 2 £'000	Level 3 £'000	
Financial Assets:				
Commodity derivative contracts	-	1,880	-	1,880
Foreign exchange derivative contracts	43	-	-	43
	<u>43</u>	<u>1,880</u>	<u>-</u>	<u>1,923</u>

31.12.2024	Financial instruments carried at fair value			Total £'000
	Level 1 £'000	Level 2 £'000	Level 3 £'000	
Financial Liabilities:				
Commodity derivative contracts	-	18,120	-	18,120
Foreign exchange derivative contracts	-	-	-	-
	<u>-</u>	<u>18,120</u>	<u>-</u>	<u>18,120</u>

Derivatives

The calculation of fair value for derivative financial instruments depends on the type of instruments. The fair value of commodity forward contracts and foreign exchange contracts are based on the fair value difference between market price at the date of measurement and the contracted price. The Company uses industry pricing services and exchange provided quotes for its positions valuation.

There have been no transfers between Level 1 and Level 2 fair values during the financial year (2024: No transfer in either direction).

Changes in value of financial instruments at fair value

	Financial instruments carried at fair value		
	As at 1 Jan 2025 £'000	Net Credit £'000	As at 31 Dec 2025 £'000
Net Derivative financial position held at fair value through profit or loss	(16,197)	13,409	(2,788)

	Financial instruments carried at fair value		
	As at 1 Jan 2024 £'000	Net debit £'000	As at 31 Dec 2024 £'000
Net Derivative financial position held at fair value through profit or loss	42,521	(58,718)	(16,197)

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25 FINANCIAL INSTRUMENTS (CONTINUED)

Income/(expense), net gains and (losses) arising from financial instruments.

	Interest income/ (expense) £'000	Others¹ £'000	Total £'000
2025			
Financial asset at fair value through profit or loss - mandatorily required by IFRS 9	-	(22,340)	(22,340)
Financial assets at amortised cost	3,974	6,482	10,456
Financial liabilities at amortised cost	-	(3,291)	(3,291)
Total	3,974	(19,149)	(15,175)
2024			
Financial asset at fair value through profit or loss - mandatorily required by IFRS 9	-	56,564	56,564
Financial assets at amortised cost	7,324	(1,914)	5,410
Financial liabilities at amortised cost	-	65	65
Total	7,324	54,715	62,039

1 Others relates to gains and losses arising from financial instruments, other than interest income, interest expense and impairment loss, such as realised and unrealised foreign exchange gains or losses and fair value gains or losses.

26 CAPITAL MANAGEMENT

The Company defines capital as total equity and debt of the Company. The objective of the Company's capital management is to maintain an optimal capital structure and ensuring availability of funds in order to support its business and maximises shareholder value. As a subsidiary of PETRONAS, the Company's approach in managing capital is set out in the PETRONAS Financial Policy.

27 CONTINGENT LIABILITIES

There were no contingent liabilities at the end of the year (2024: Nil).

28 ADOPTION OF NEW AND REVISED PRONOUNCEMENTS

As of 1 January 2025, the Company adopted the following pronouncements that have been issued by the IASB and are applicable as listed below:

Effective for annual periods beginning on or after 1 January 2025:

- Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability

The initial application of the above-mentioned pronouncements did not have any material impact to the financial statements of the Company.

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29 PRONOUNCEMENTS YET IN EFFECT

The following pronouncements that have been issued by the IASB will become effective in future financial reporting periods and have not been adopted by the Company in these financial statements:

Effective for annual periods beginning on or after 1 January 2026:

- Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)

Effective for annual periods beginning on or after 1 January 2027:

- IFRS 18 Presentation and Disclosure in Financial Statements

The Company is expected to apply the abovementioned pronouncements beginning from the respective dates the pronouncements become effective. The initial application of the abovementioned pronouncements is not expected to have any material impacts to the financial statements of the Company.

IFRS 18 replaces IFRS 101 and introduces enhanced requirements for the presentation and disclosure of financial statements. The standard mandates structured subtotals in the statement of profit or loss, classification of income and expenses into defined categories, and disclosure of management - defined performance measures with reconciliations to MFRS amounts. The Company has assessed the estimated impact on its financial statements upon the initial application of MFRS 18. The implementation of MFRS 18 will not result in changes to the recognition and measurement of financial statements. The impact will be limited to the financial statements' disclosure and presentation.

30 NET TRADING INCOME/(EXPENSE)

Net trading income/(loss) includes realised sale of physical gas contracts and purchase cost of LNG cargoes for regasification. It also includes realised and unrealised gains/(losses) on financial derivatives.

31 SUBSEQUENT EVENTS

There were no significant events after the reporting period, except for the signing of the SLA amendment which was mentioned in Note 22.